

Astral Ltd (ASTRA IN · NSE: ASTRAL · BSE: 532830) — The Questions That Decide the Investment

Research memo · 14 September 2026 · analysis, not investment advice

Corrected 15 September 2026 — two changes, the first material.

1. The demerger was withdrawn on 29 July 2026, six weeks before this memo was written. The first version of this memo described the composite scheme as live and pending NCLT. It was not. The board approved it on 25 June, appointed a Big Four firm on 5 July for a 30-day independent review after stakeholder pushback, and **withdrew the scheme entirely on 29 July**, Al-Aziz amalgamation included. **This was a research failure on my part** — the announcement sweep caught the approval and never verified the action was still live as at the memo date. Sections 0, 1, 2, 3 and 4 below are rewritten accordingly. The valuation conclusions are unaffected: the withdrawal predates every price and estimate used here.

2. A cross-check against Supreme Industries ([astral-vs-supreme.md](#)) refines one emphasis. Supreme's net margin fell from 15.4% (FY21) to **8.1%** over the same window Astral's fell from 12.9% to **8.1%**, and Supreme's EBITDA margin fell further. Much of the margin decline this memo attributes to capex and diversification is **industry-wide reversion from a FY21 PVC windfall**. Astral's capital allocation record stands as written; the margin trend is less Astral-specific than Section 0 implies.

Prices below are 7 September. Astral traded at **₹1,411.40 on 13 September** (market cap ₹37,917cr, **70.9x** FY26 earnings).

0. What you are actually buying

Astral is a **very good pipes business that spent five years and ₹1,400 crore of capex buying its way into adjacent categories, produced no earnings growth doing it, and has now announced it is splitting those adjacencies back out**. The core is CPVC and PVC plumbing — 71% of revenue, effectively all of the profit, a ~19–20% segment EBITDA margin, and a distribution network (3,610+ distributors, ~251,000 dealers) that is the real moat. Bolted on are adhesives (India and UK), paints, bathware and water tanks — 29% of revenue at roughly 8% EBITDA margin, with paints only reaching breakeven in the June 2026 quarter after two years of losses. On **25 June 2026 the board approved a composite scheme** to demerge the chemicals business into a separately listed **Astral Chemie Limited** on a **1:1 entitlement** — and **on 29 July 2026, five weeks later, withdrew it**, on the recommendation of a Big Four firm it had appointed on 5 July to review the plan. The board's stated reason is the most important sentence anyone at Astral has said this year: **the chemicals business "lacks the necessary scale and financial strength to support organic and inorganic growth as a standalone entity."** So the chemicals arm stays inside, indefinitely, and any view on this

security is a view on one blended company in which a ~19.5%-margin plumbing division permanently subsidises a ~8%-margin chemicals division that its own board has just declared not viable alone.

Segment (consolidated)	FY26 revenue	YoY	What it is
Plumbing (pipes, fittings, water tanks, bathware, valves)	~₹4,679cr (71.2%) (derived)	+11.5%	~25–30% share of CPVC (some sources say ~50%); ~5% of PVC. FY26 volume +16%; Q4 FY26 volume +24.2% to 84,041 MT
Paints & Adhesives	₹1,890cr (28.8%)	+15.5%	Adhesives India (the profitable part), Adhesives UK (Seal IT / Silicone Engineering), Paints (36,000 TPA), construction chemicals
— of which the "Chemicals Business Undertaking" once proposed for demerger	₹1,266.3cr	n/a	21% of standalone turnover. The board withdrew the demerger on 29 July 2026 — see Q1
Capacity	21 units, 5.97 lakh TPA		4.2 lakh TPA pipes/tanks/bathware · 1.4 lakh TPA adhesives · 36,000 TPA paints

Trailing financials — through the last cycle peak

	FY21	FY22	FY23	FY24	FY25	FY26	Q1 FY27
Revenue (₹cr)	3,176	4,394 (+38.3%)	5,157 (+17.4%)	5,646 (+9.4%)	5,832 (+3.3%)	6,569 (+12.6%)	1,578 (+15.9%)
Net profit (₹cr)	408	490 (+20.1%)	460 (–6.3%)	546 (+18.7%)	519 (–4.9%)	535 (+3.0%)	120.2 (+51.8%)
Net margin	12.9%	11.2%	8.9%	9.7%	8.9%	8.1%	7.6%
EBITDA margin	20.3%	~17%	~16%	~16%	~16.0%	16.2%	15.5%
EPS (₹, reported)	—	—	—	20.33	19.50	19.91	4.47
Operating cash flow (₹cr)	—	—	—	—	—	~630	—

FY26 EBITDA is quoted at both ₹1,062cr (16.2%) and ₹1,109cr (16.9%) in different secondary coverage — almost certainly ex- and including other income. The memo uses ₹1,062cr; the discrepancy is unresolved and is listed in Q13. Per-share figures before FY24 are not restated here for historical bonus issues, so the EPS row starts at FY24.

FY26 quarterly path: Q1 ₹79.2cr → Q2 ₹134.8cr → Q3 ₹107.7cr → **Q4 ₹213.0cr** (= ₹534.7cr). A year that was written off at the halfway mark and rescued entirely by Q4 restocking.

Market: ₹1,493.50/share (7 Sep 2026; ₹1,534.95 on 28 Aug). Market cap **₹40,107cr** (~US\$4.6bn) on **~26.85cr shares** (derived from market cap ÷ price; face value ₹1). That is **75.0x FY26 earnings**, **69.7x** trailing twelve months to June 2026, and **~10.8x book** (derived from net worth ~₹3,261cr at Mar-25 plus FY26 retained earnings). 52-week range ₹1,311.60–₹1,768.70; the **all-time high was ₹2,454 on 2 July 2024**, so the stock is still **39% below its peak**. Sell-side

FY28E net profit clusters at **₹836–950cr** — i.e. consensus asks you to underwrite **1.6–1.8x FY26 profit within two years**.

Control: promoters **54.22%** (June 2026), **zero pledged**. Founder **Sandeep Engineer** is Chairman & Managing Director; wife **Jagruti Engineer** is a Whole-Time Director; son **Kairav Engineer** joined as Whole-Time Director in 2023 and runs pipes, bathware, water tanks and brand; CFO **Hiranand Savlani** was elevated to the board. Succession runs through family trusts. In **December 2023 two promoter entities (Kairav Chemicals, Saumya Polymers LLP)** sold **1.74% for ₹885cr** in the open market.

Withdrawn: the composite scheme (demerger + Al-Aziz amalgamation) was **withdrawn on 29 July 2026** and is deferred indefinitely until the chemicals segment reaches greater scale. **Still pending:** a **40,000 MT captive CPVC resin plant** (Nexelon Chem, 80% acquired for ₹120cr of a ₹150cr project) has slipped from "Q2 FY27" to **trials from December 2026 and commercial production in Q4 FY27**.

The single fact that frames everything: EPS was **₹20.33 in FY24, ₹19.50 in FY25 and ₹19.91 in FY26**. Three years, **no earnings growth**, on 16% more revenue. Lengthen the window and it is starker: since FY21, revenue has **more than doubled** (₹3,176cr → ₹6,569cr) while net profit rose **31%** (₹408cr → ₹535cr) and net margin fell from **12.9% to 8.1%, the lowest in the series** — against ₹1,400cr of capex. And the celebrated Q1 FY27 result, "+51.8%", delivered **₹120.2cr of profit against ₹118.2cr in the same quarter of FY25**. **Two years of zero progress, reported as a 52% jump, because the base was broken**. The stock is at 75x. Management's answer was to split the company in two — and then, five weeks later, not to.

1. The five questions that decide the outcome

Q1. The board declared the chemicals arm unable to stand alone. What is it worth inside?

This still outranks everything else, but for the opposite reason to the one first written here. The demerger is **not** a dated catalyst that forces the market to price the two halves separately — it was **withdrawn on 29 July 2026**. What remains is the same valuation tension with the forcing event removed: one blended 75x multiple applied, indefinitely, to a company whose two halves have completely different economics. Run the arithmetic on FY26 actuals:

	Revenue (FY26)	Share	EBITDA (derived)	Share	Implied PAT (derived, pro-rata)
Plumbing	~₹4,679cr	71.2%	~₹912cr @ ~19.5%	85.9%	~₹459cr
Paints & Adhesives	₹1,890cr	28.8%	~₹150cr @ ~7.9%	14.1%	~₹76cr
Consolidated	₹6,569cr		₹1,062cr @ 16.2%		₹535cr

EBITDA is split using Q4 FY26 and Q1 FY27 disclosed segment margins and calibrated to reproduce the consolidated total exactly; PAT is allocated pro-rata to EBITDA. Both are my derivations, not disclosure. The company has never

published segment PAT, which is itself the point.

Now solve for what each half must carry inside the blend:

- **If the chemicals arm is worth 50x its ~₹76cr (~₹3,800cr), the pipes business alone must be carrying ~₹36,300cr — which is 79x its ~₹459cr.** That is above the blended 75x, for the slower-growing, more commoditised half.
- **If the pipes business is worth 45x — roughly where Supreme Industries trades, and generous for a pipe maker — that is ~₹20,700cr, and the chemicals arm would have to be worth ~₹19,400cr: about 256x earnings, or 10x sales, on a business running an 8% EBITDA margin.**

Neither is comfortable, and **the withdrawal is what makes it matter more, not less.** The answer to "is the chemicals arm better than its FY26 numbers look?" arrived on 29 July, from the only parties with the audited figures: **a Big Four firm, given 30 days and full access, recommended against the demerger, and the board concluded the business "lacks the necessary scale and financial strength to support organic and inorganic growth as a standalone entity."**

That is the bear reading of this memo's Q4, confirmed by the company. The bull case had been that you are not meant to capitalise FY26 chemicals earnings at all — management targeted **₹2,300–2,400cr of revenue at a 14–15% EBITDA margin by FY28**, scaling to **₹4,500–5,000cr in four to five years**. Five weeks after publishing that ambition, the board decided the same business could not fund it alone. **You may still believe the FY28 target. You can no longer believe it and also believe the board, because they have now told you the two are inconsistent without the pipes division's cash behind it.**

So the structure is now permanent rather than transitional: **the plumbing division's cash flow subsidises the chemicals arm for the foreseeable future**, and the group ROCE of ~19.9–20.6% (against plumbing's own far better economics) is the steady state, not a stage. The Bear case in [the model](#) — revenue +22% over three years with profit -1.4%, because chemicals grows faster at a third of plumbing's margin — stops being a stress test and becomes the base structure.

Ask: - Segment PAT and capital employed for plumbing and chemicals, FY25 and FY26. The scheme document would have disclosed this and now never will. It is the one number that settles how much the chemicals arm is costing you, and its absence is now indefinite. - **What did the Big Four review actually find?** The board published its conclusion, not its reasoning. Ask what scale the chemicals business would need to be viable alone, and by when management expects to reach it — that converts a vague deferral into a testable milestone. - **Who were the "stakeholders" whose pushback triggered the 5 July review?** A board that approves a major restructuring and reverses it in five weeks under external pressure is telling you something about how the June decision was made. - **Is the demerger genuinely deferred or dead?** And if the chemicals arm is now permanent, what changes about how it is funded, measured and reported — will segment returns be disclosed?

Q2. Is the plumbing margin expansion a PVC price cycle or a structural improvement?

Plumbing segment EBITDA margin went **16.4% → 18.9%** in Q1 FY27, and **20.4% → 22.8%** in Q4 FY26. This is the number carrying the whole earnings recovery. It is also the number most likely to be misread, because in Indian plastic pipes **the margin is largely a derivative of which way PVC resin prices moved last quarter, not of how well the company traded.**

The evidence that this is cycle, not franchise:

1. **Q1 FY27 plumbing volumes were flat at 56,146 MT while segment revenue rose 10.1%.** All of the growth was realisation. Realisation is resin price.
2. **PVC resin prices rose ~64% YoY into March 2026**, then fell through Q1 FY27. Management stated there was **no inventory loss in Q1 FY27 despite the PVC price decline** — which is another way of saying the quarter's margin was helped by the timing of resin flowing through cost of goods sold.
3. The Q4 FY26 blowout (+24.2% volume, 22.8% margin) was explicitly attributed to **channel restocking** after a destocking year — the mirror image of the Q1 FY26 collapse.
4. **Anti-dumping duty on PVC suspension resin is pending**, recommended at **\$22–284/tonne**, alongside a **US\$766/tonne minimum import price** and quantitative restrictions after the nil-BCD window of 2 April – 30 June 2026. Management said on the August call that the process was "underway with government, timeline 1–2 months." **If it lands, the industry books inventory gains and the sell-side calls it margin expansion.** It is neither durable nor Astral-specific.

The evidence that some of it is structural, and it is real:

- **The captive CPVC resin plant.** Astral is the first pipe company anywhere to backward integrate into CPVC resin: 40,000 MT via Nexelon Chem (80% owned, ₹120cr of a ₹150cr project), enough to cover **50–60% of internal CPVC requirement**, claimed to add **~200bps to piping margins** and free **₹120–130cr of working capital**. Astral terminated its Lubrizol sourcing and licence arrangement years ago, so this closes a genuine strategic dependency.
- Mix: bathware, water tanks and valves are growing faster than pipes and carry different economics.

Ask: - **Decompose the FY26 and Q1 FY27 plumbing margin into volume leverage, realisation/resin timing, and mix** — in the company's own numbers, not a narrative. Resin timing reverses. - **What was the inventory gain or loss in each of the last six quarters, in ₹cr?** Indian pipe companies quantify this on calls; it is the single cleanest way to strip the cycle out. - **What plumbing EBITDA margin does management underwrite at flat PVC prices?** The FY27 guidance of 16–18% consolidated is below the 18.9% just printed — **management's own guidance implies the Q1 margin does not hold.** Make them say why. - **The CPVC plant's slipped timeline** — originally Q2 FY27, now trials from December 2026 and commercial production in Q4 FY27. What is the commissioning risk, and when does the +200bps actually appear in reported numbers: FY28, or later?

Q3. Is the FY27 volume guidance of 10–15% credible when the first quarter delivered zero?

Volume is the only honest measure of whether the franchise is winning, because value growth is contaminated by resin prices. The record is volatile and the guidance has been moved repeatedly:

Period	Plumbing volume	Note
FY26 full year	+16%	Guidance raised mid-year from "low double digits" to ">14%"
Q3 FY26	+17%	Described by the sell-side as market-share gain
Q4 FY26	+24.2% to 84,041 MT	Aided by channel restocking ; January alone >20%
Q1 FY27	flat, 56,146 MT	Against an industry estimated down ~10%
July 2026	+40%	Off a collapsed July 2025 base

Two readings fit, and they are worth very different multiples. **The benign one:** Astral held volume flat while the industry fell 10%, which is share gain; July's +40% shows the destocking is over; the full year still lands in the 10–15% band. **The unkind one:** FY26's 16% was restocking after a lost FY25, Q1 FY27 gave it back, and the underlying run rate of this business is high-single-digit volume growth in a market growing 12–14%.

The base rate is not encouraging. **FY26 volume grew 16% and net profit grew 3.0%.** Whatever volume does, it has recently not been converting into earnings.

Sub-questions: - **Monthly volume for August and September 2026**, against July's +40%. One month off a broken base is not a trend; management itself flagged sustainability as the key monitorable. - **Primary versus secondary sales.** Volume shipped to distributors is not volume consumed. Ask for channel inventory in weeks, now versus a year ago — this is the variable that produced both the Q4 FY26 spike and the Q1 FY27 flat print. - **Volume by product** — CPVC (where share is 25–50% and pricing holds) versus PVC (where share is ~5% and the fight is with everybody). Growth mixing toward PVC is growth at a worse margin. - **Capacity utilisation.** FY26 plumbing volume of roughly **270,000 MT** (derived) against **420,000 TPA** of pipes/tanks/bathware capacity is about **64%**. Confirm the real figure and ask what utilisation the FY27 capex of ₹300–350cr is being added into.

Q4. Did the diversification create value — and what does the failed demerger say about it?

Astral has been a serial acquirer of adjacencies: Resinova and Seal IT (adhesives, 2014), Rex Polyextrusion (2018), Gem Paints and Silicone Engineering (2022), the decorative paints launch (2024), **Al-Aziz Plastics** (FY26, ₹37cr revenue, now being amalgamated), **Nexelon Chem** (80%, Nov 2025), **DSS LLP** (60% for ₹39.11cr, June 2026), plus stake-ups to 100% in Seal IT and Astral Coatings. Against **₹1,400cr of capex over four years**, the scoreboard:

	FY22	FY26	Change
Revenue	₹4,394cr	₹6,569cr	+49.5%
Net profit	₹490cr	₹535cr	+9.1%
Net margin	11.2%	8.1%	-310bps
EBITDA margin	~17%	16.2%	-80bps
RoE (derived)	~22%	~14.5%	-750bps

Half the revenue was bought or built; almost none of the profit was. The EBITDA margin decline is modest — the operating businesses are fine. What broke the net line is **depreciation on the capex and losses in the new ventures**, and that is a capital allocation outcome, not an operating one.

The specific case that deserves the sharpest question is **paints**. Astral entered decorative paints in 2024 — the same year Aditya Birla's Birla Opus launched with more than ₹10,000cr of committed capacity, 30,000+ retail outlets and aggressive trade spend, into a market where Asian Paints was already losing share and cutting margin to defend it. Astral entered that fight with **36,000 TPA of capacity** and reached **EBITDA breakeven only in Q1 FY27, at a 0.1% margin**. Bathware is also still at breakeven. Adhesives India — the one genuinely good piece of the chemicals arm, ~68% of the demerged revenue with 15–16% margins historically — **fell to 12.2% from 14.0%** in Q1 FY27 on high-cost inventory.

In fairness, and it matters: **the balance sheet was never risked to do any of this**. Net cash of ₹943.3cr at March 2026 (up from ~₹608cr a year earlier), gearing 0.15x, interest cover 23x, **FY26 operating cash flow of ~₹630cr against ₹535cr of profit (118% conversion)**, and working capital **cut from 17.4 days to 11.0 days**. This is not a company that financed growth with receivables. It financed it with its own cash — which is precisely why the returns question, rather than the solvency question, is the one that matters.

Ask: - The post-tax return on the ₹1,400cr of capex, project by project: paints, bathware, water tanks, the UK, Nexelon. Which have cleared cost of capital, and which have not yet? - **Cumulative losses in the paints business since launch**, and the revenue and utilisation at which it reaches a double-digit EBITDA margin. Management targets "high single to low double digit" by FY28 — what volume does that assume? - **Why approve a demerger on 25 June and withdraw it on 29 July?** The board's own answer — the chemicals business lacks the scale and financial strength to stand alone — is a verdict on this question. Ask what changed between the two dates, given the financials did not. - **FY27 capex of ₹300–350cr was guided, but Q1 alone spent ₹137cr** (₹87cr plumbing, ₹32cr adhesives India, ₹2cr UK, ₹16cr CPVC). Annualised that is ~₹550cr. Which is the real number?

Q5. What has to be true for ₹40,100cr to be cheap?

Reverse the valuation rather than forecasting into it. Take the market cap, apply a terminal multiple, and solve for the profit required:

Exit P/E	Net profit required	× FY26 (₹535cr)	vs sell-side FY28E (₹836–950cr)
30x	₹1,337cr	2.50x	41–60% above consensus
35x	₹1,146cr	2.14x	21–37% above consensus
40x	₹1,003cr	1.88x	6–20% above consensus
45x	₹891cr	1.67x	inside the consensus range
50x	₹802cr	1.50x	below consensus

So today's price is approximately the full sell-side FY28 estimate, capitalised at ~45x, discounted at zero. 45x is what Supreme Industries — the larger, more diversified, better-known compounder — carries. Astral would have to hold that multiple two years out, after handing a quarter of its revenue to a separately listed company, for today's buyer to earn nothing but the passage of time.

Three checks make this less comfortable rather than more:

- 1. The sell-side's own targets say the same thing.** Across 25 recent reports the **average target price is ₹1,543** against ₹1,493.50 — **+3.3%**, plus a 0.26% dividend yield. The bulls are not arguing the stock is cheap; they are arguing it is roughly fairly priced. Motilal Oswal's ₹1,697 rests on **~48x FY28E**; Axis's ₹1,750 on **51x FY28E**. **Every published target on this name is an exit-multiple assumption, not an earnings argument.**
- 2. The targets have been marked down while the price went nowhere.** Motilal Oswal's target ran **₹1,950 → ₹1,710 (June 2026, 52x FY28E) → ₹1,697 (August 2026, 48x FY28E)** — cut ~13%, and the multiple assumption cut with it, even as the company reported a +52% quarter. The estimates are following the price, not leading it.
- 3. The de-rating is not finished, and it has been paid for by the multiple, not by earnings.** At the **all-time high of ₹2,454 (2 July 2024)**, the stock was on **~121x FY24 EPS** of ₹20.33. It is now **~75x FY26 EPS** of ₹19.91. **The 39% fall from the peak was entirely multiple compression on flat earnings.** Nothing in the record establishes that 75x is the floor rather than a waypoint — and with the demerger withdrawn, **there is no longer a scheduled event that forces the market to re-examine the number.** The re-rating risk did not go away; the catalyst that would have resolved it did.

The question is not whether this is a good business — the plumbing franchise plainly is. It is whether a company that has delivered 3% profit growth over three years, has just abandoned the restructuring that was its one re-rating catalyst, and whose own analysts see 3% upside, should be capitalised at 75x.

2. Second-order questions that still move the answer

Q6 — There is no customer concentration; there is channel concentration, and it is the reason the numbers swing. Astral sells through **3,610+ distributors and roughly 251,000 dealers**, so no single buyer matters — a genuinely better position than most industrials. But that same channel is a leveraged inventory position on PVC prices held by thousands of small traders. When resin falls they stop buying and wait; when it rises they buy ahead. That mechanism, not end-demand, produced the **Q1 FY26 collapse, the Q4 FY26 +24.2% spike, the Q1 FY27 flat print and July's +40%** — four consecutive quarters whose headline growth told you almost nothing about consumption. **Ask for channel inventory in weeks across the last eight quarters**, and for the split of volume between primary (to distributor) and secondary (to dealer/site). Without it, every quarterly volume number in this file is uninterpretable.

Q7 — Where in the cycle is FY27, and what is normalised earnings? Two datable cycles now exist: the FY21 profitability peak (12.9% net margin, 20.3% EBITDA margin) and the FY24 earnings peak (₹546cr, ₹20.33 EPS), with FY23 and FY25 as troughs. **FY26's ₹535cr has still not matched FY24.** The industry backdrop is genuinely good — India's plastic pipes market is projected to grow ~14% a year, from ₹541bn in FY24 to ₹805bn by FY27 — but Astral's participation in that growth has so far shown up in revenue and not in profit. If ₹535cr is a mid-cycle number and FY27 is a resin-assisted up-year, the stock is on 75x mid-cycle. If FY26 was the trough of a margin cycle that the CPVC plant and anti-dumping duties now lift, it is on ~45x FY28. **Make management state which of those two they believe, in a number.**

Q8 — The balance sheet is a strength, and the funding question has moved to the spin-off. Net cash ₹943.3cr, gearing 0.15x at FY25, interest cover 23x, OCF/PAT 118%, working capital 11.0 days. Nothing here is stressed. The open funding question is **Astral Chemie**: a company being launched with roughly ₹1,266–1,890cr of revenue at an ~8% EBITDA margin, a paints business at breakeven, a target of ₹4,500–5,000cr of revenue in four to five years, and no disclosed opening balance sheet. **Growth of that order is not self-funded from ₹150cr of EBITDA.** Ask what cash and debt travel with it, what its first-year capex plan is, and whether an equity raise is contemplated within 24 months of listing. Note also the rating agency's stated trigger: a large debt-funded capex or acquisition taking TOL/TNW above 0.75x would be a negative rating action — which constrains the parent, not the spin-off.

Q9 — Governance: a founder-run family company with clean mechanics and no independent check on strategy. Promoters hold **54.22%** with **zero pledge** — better than most Indian mid-caps, and the absence of pledging removes a whole category of risk. But **Sandeep Engineer is Chairman and Managing Director**, his wife **Jagruti** is a Whole-Time Director, his son **Kairav** is a Whole-Time Director running pipes, bathware, water tanks and brand, and the **CFO was elevated to the board**. Succession is structured through family trusts. There is no mechanism by which minority holders influence the decision to enter paints, to buy five companies in two years, to announce a demerger, or to cancel it. That is not an allegation of anything — it is a statement that **the entire capital allocation record in Q4 is one family's judgement, and you are underwriting the next decade of it at 75x.**

The demerger round trip is now the sharpest available test of that judgement, and it does not pass cleanly. The board approved a composite scheme on **25 June**, watched the stock fall 9–11%, appointed a Big Four firm on **5 July** after stakeholder pushback, and withdrew the scheme on **29 July** — five weeks, start to finish, on a restructuring of

21% of the company. Two readings, both unflattering: either the June approval was taken without the diligence that the July review then supplied, or the reversal was driven by share-price pressure rather than by analysis. **Ask what the independent directors' process was in June, what the review found that June did not know, and whether any external valuation of the chemicals undertaking was obtained before the board voted the first time.**

Q10 — Share supply: quantifiable, and the informed holders have been sellers. Three live items. (a) In **December 2023 two promoter entities — Kairav Chemicals and Saumya Polymers LLP — sold 1.74% of the company for ₹885cr** in the open market, near the top of the de-rating. That is not a governance failure, but it is information about what informed holders thought of the price. (b) An **ESOP 2025 scheme** exists; its grant volume, exercise price and performance conditions could not be obtained and should be. (c) **The one technical overhang in this file has been removed.** The withdrawn demerger would have listed Astral Chemie into index portfolios that do not hold it, forcing passive and mandate-constrained sellers — the standard post-spin technical that makes demerged stubs trade poorly for weeks. That flow will not happen. **This is the single clearest positive from the withdrawal, and it is a one-off worth far less than the structural cost in Q1.**

Q11 — Competition is intensifying in all three businesses at once, and the one durable edge has a clock on it. In **pipes**: Supreme Industries is the diversified leader, Finolex leads revenue in organised PVC, Ashirvad (Aliaxis) is the other premium brand, and **Prince Pipes has taken installed capacity to 435,222 MT — larger than Astral's 420,000 TPA pipes/tanks/bathware base — while growing 20–25%.** In **adhesives**: Pidilite, at many times the scale and a materially higher margin. In **paints**: Asian Paints and **Birla Opus**, against which Astral's 36,000 TPA is a rounding error. And the CPVC integration edge — genuinely first-in-industry — is time-limited: **DCW, Lubrizol and Epigral have launched or proposed Indian CPVC resin capacity totalling over ₹2,400cr of investment.** Once domestic CPVC resin is abundant, "we make our own" becomes "so does everyone, and it is cheaper to buy." **Ask how long management expects the captive cost advantage to persist, in years and in ₹/kg.**

Q12 — Capital return is a rounding error, and the withdrawal makes the payout question sharper, not softer. Dividend is roughly **₹4/share for FY26** (₹2.50 final plus interim) against ₹19.91 of EPS — a **~20% payout** and a **0.26% yield.** That is a defensible growth-first policy, and with net cash and 118% cash conversion the company can afford both. But it means **the entire return case is capital appreciation from a 75x starting multiple**, with no yield support on the way — and the chemicals arm the board has just declared sub-scale will keep absorbing the plumbing division's cash indefinitely rather than being handed to shareholders to fund itself. For contrast, Supreme Industries pays out ~50% and yields 1.03% on a higher return on capital. **Ask whether the board considered any capital-return alternative — a raised payout or a buyback — when it abandoned the restructuring, and what the chemicals arm's call on group cash now is.**

Q13 — Source quality and disclosure gaps. Every primary filing route was unreachable from this environment (see the Sources preamble), so **everything above is secondary coverage and must be re-verified before it enters a model.** Figures that failed to reconcile or could not be obtained, each of which is therefore a question:

- **FY26 EBITDA is quoted as both ₹1,062cr (16.2%) and ₹1,109cr (16.9%)** — probably an other-income difference, unresolved.

- **The chemicals undertaking (₹1,266.3cr) versus the consolidated Paints & Adhesives segment (₹1,890cr).** A ~₹620cr gap, mostly UK adhesives. The withdrawn scheme document would have resolved it; **with the demerger cancelled, this gap now stays open indefinitely.**
- **"Adhesives India is ~68% of FY26 chemicals revenue"** implies ~₹861cr, but Q1 FY27 adhesives India of ₹326cr annualises far above that. One of the two is on a different denominator.
- **Astral's CPVC market share is quoted at both "25–30%" and "~50%"** in reputable-looking secondary sources. The gap is probably organised-market versus total, but it is not stated.
- **Q3 FY25 net profit appears as both ₹126cr and ₹112.6cr.** This memo uses ₹112.6cr.
- **Widely published valuation ratios do not survive arithmetic.** A quoted **P/E of ~27x** would require ₹1,485cr of earnings against ₹535cr reported — treat that source class as unusable. A quoted **62.18x** is most likely a forward FY27E multiple, not trailing; this memo uses the derived **75.0x**.
- **Not obtained, and worth obtaining:** segment PAT (never disclosed), the FY26 annual report's cash flow statement, FY26 plumbing volume in MT (derived here as ~270,000), exact share count and book value (both derived), the ESOP 2025 terms and any performance conditions, quarterly inventory gain/loss, channel inventory, the findings of the Big Four review that killed the demerger, and the identity of the "stakeholders" whose pushback triggered it.
- **A process note on this memo.** The first version described the demerger as live and pending NCLT approval, six weeks after the board had withdrawn it. The announcement sweep found the 25 June approval and did not check whether the action was still live at the date of writing. **Treat every "pending" corporate action in any memo as unverified until its current status is confirmed as at today** — the withdrawal was disclosed and searchable; the failure was method, not availability.

3. What to watch next — falsifiable checkpoints

1. **Q2 FY27 results (late October / early November 2026) — the nearest and highest-value event.** It answers Q2 and Q3 at once. Look for: **plumbing volume growth** (did July's +40% survive August and September?); **plumbing EBITDA margin against Q1's 18.9%**; any **inventory gain or loss** disclosure; whether **paints** held above breakeven; whether **adhesives India** recovered from 12.2% toward its historical 15–16%; and the **capex run rate** against the ₹300–350cr full-year guide after ₹137cr in Q1.
2. **The PVC anti-dumping duty decision (September–October 2026).** Management said in August the process was "1–2 months" away. If duties land at the recommended **\$22–284/tonne**, expect resin prices to firm and Q3 FY27 to carry **inventory gains that will be reported as margin expansion**. Score it as cycle, not franchise.
3. **Any disclosure of segment returns, now that the scheme document will never arrive.** The withdrawn scheme would have published audited financials, capital employed and an opening balance sheet for the chemicals undertaking. **That disclosure is gone.** Watch the FY27 annual report and the Q2/Q3 calls for whether management

replaces any of it voluntarily — segment PAT, segment capital employed, or the UK adhesives split. **Continued silence is itself the answer to Q1**, and should be priced as the unfavourable case.

4. **Whether the demerger is revived, and on what trigger.** The board deferred it "until the chemicals segment achieves greater scale" without naming the scale or the date. Watch for management putting a number on it — a revenue or margin threshold, a year. **A vague deferral that is never quantified across two more results calls should be read as cancelled, not postponed.** Note also that a revival would re-impose the passive-selling overhang removed in Q10.
5. **The CPVC resin plant: mechanical completion December 2026, trials, commercial production in Q4 FY27.** It has already slipped once from "Q2 FY27." A second slip pushes the claimed **+200bps** of piping margin out of FY28 entirely — and that 200bps is a large fraction of the margin expansion embedded in consensus.
6. **Whether FY27 lands inside the 10–15% volume guidance.** Q1 delivered **zero**, so Q2–Q4 must now average roughly **13–20%** to hit the band. By the Q3 FY27 print this is arithmetic, not opinion.
7. **Paints margin in Q2 and Q3 FY27.** Breakeven at 0.1% is not profitability. Management targets "high single to low double digit" by FY28; the path has to start appearing now.
8. **Whether the chemicals arm's call on group cash rises or falls from here.** With the demerger dead, paints, bathware, the UK and DSS are funded from plumbing indefinitely. Watch the split of FY27–28 capex between the two halves: chemicals taking a rising share while earning ~8% margins is the Q1 thesis confirming in real time.
9. **Q3 FY27 (late January 2027)** — the first clean read on whether FY27 profit is tracking the ~₹670cr that the consensus FY26–28 growth path implies, or the ~₹535–580cr that flat volumes and a normalising resin price would produce.
10. **Any seventh acquisition.** Six in roughly two years. One announced now — weeks after the board concluded the chemicals arm lacks the financial strength to grow organically or inorganically on its own — would be the clearest possible contradiction of its own stated reasoning, and should be judged on that basis.
11. **ESOP 2025 grant terms and any performance conditions**, in the FY27 annual report. If they carry profit targets, that is management's own committed forecast and worth more than any sell-side estimate.

4. Provisional read

The business is good, and the parts of it that are good are not in doubt. A premium plumbing brand with 25–30% of the CPVC market, 3,610 distributors and 251,000 dealers, net cash of ₹943cr, 118% cash conversion, working capital cut to 11 days, and the first captive CPVC resin plant owned by any pipe maker anywhere — in a market growing ~14% a year toward ₹805bn by FY27. None of that is fragile, and none of it was bought with debt. Management held volume flat in a quarter when the industry fell 10%. And the board's willingness to spend on a Big Four review and then publicly reverse a decision it had already taken is, uncomfortably, better governance than pushing a bad restructuring through.

The stock is a different question, and the answer is harder. You are paying **75x** for a company whose EPS was ₹20.33 in FY24 and ₹19.91 in FY26; whose celebrated "+52%" quarter produced ₹120.2cr against ₹118.2cr two years earlier; whose net margin has fallen from 12.9% to 8.1% while revenue doubled; whose ₹1,400cr of capex bought 49.5% more revenue and 9.1% more profit; and whose own analysts, across 25 reports, see **3.3% upside**. The 39% fall from the July 2024 peak was **entirely multiple compression on flat earnings** — 121x to 75x — and nothing establishes that 75x is a floor.

The withdrawn demerger makes this worse, not better, and the reason is easy to get backwards. The obvious reading is that an overhang has been removed — and one genuinely has, the passive selling that a spin-off listing would have forced. But that is a one-off technical. Three durable things changed against the holder. **First, the valuation tension in Q1 lost its resolution date without losing any of its force:** one 75x multiple still covers a ~19.5%-margin pipes business and a ~8%-margin chemicals business, and now nothing scheduled makes the market confront that. **Second, the question this memo ranked first was answered, unfavourably, by the only people with the audited numbers** — a Big Four firm and the board concluded the chemicals arm lacks the scale and financial strength to stand alone. **Third, the subsidy is now permanent:** plumbing funds chemicals indefinitely, so ~19.9–20.6% group ROCE against plumbing's own far better economics is the steady state rather than a phase. Set against that, the board reversing a bad decision in five weeks is a modest governance credit and a real process demerit.

What would flip the conclusion is now two things rather than three, and both are harder: (i) **two consecutive quarters of double-digit plumbing volume growth with segment margin holding at or above 19% while PVC prices are flat** — establishing the margin as franchise rather than resin timing; and (ii) **the CPVC plant commissioning on the December 2026 / Q4 FY27 schedule with the +200bps visible**. Both are separately embedded in consensus already, so both must land. The third leg — a scheme document revealing a better chemicals business — **is no longer available at all**, and management would now have to disclose segment returns voluntarily to supply it.

What would confirm the other reading: Q2 FY27 volume growth back below 5%, plumbing margin reverting toward 16–17% as resin normalises, and continued non-disclosure of segment profitability.

Do not size a position before the Q2 FY27 result. It is roughly six weeks away and settles Q2 and Q3 — the two questions that now carry the thesis, since Q1 has been answered by the board rather than by a document. At 75x, with the catalyst withdrawn and the cheaper, higher-return comparator in [astral-vs-supreme.md](#) unaffected by any of this, the cost of waiting is small and the cost of being wrong on the margin question is a de-rating rather than a miss.

Sources

Primary filings were unreachable from this environment: BSE and NSE corporate announcements, the company's own investor-relations site ([astralltd.com](#)), CARE and CRISIL rating press releases, broker PDFs (ICICI Direct, Axis, Nuvama), and the standard data terminals ([screener.in](#), [trendlyne](#), [tijorifinance](#), Yahoo Finance, [marketscreener](#)) are all blocked by the network egress proxy. Every figure below comes from secondary coverage of those filings and must be

re-verified against the annual report, the quarterly filings and the scheme document before it enters a model. Derived figures are marked as such in the text.

Results and financials

- Q1 FY27: revenue ₹1,578cr +15.9%, PAT ₹120.2cr +51.8%, EBITDA ₹244cr +25.8%, margin 15.5% vs 14.3%, PBT ₹162.8cr; plumbing ₹1,050.5cr +10.1% with segment EBITDA ₹198.3cr +26.7%; paints & adhesives ₹527.5cr +29.5% (Business Standard)
- Q1 FY27 detail: total income +16.1%, EPS ₹4.47 vs ₹3.02, cash profit ₹195.6cr +29.5% (Angel One)
- Q1 FY27 segment margins: plumbing 18.9% vs 16.4%, adhesives India ₹326cr +24.8% at 12.2% vs 14.0%, adhesives UK ₹121cr +26% at 4.9% vs 0.2%, paints at 0.1% breakeven, bathware +18.1%; July plumbing volume +40% (Cofacto, from the 12 Aug 2026 call)
- Q1 FY27 volumes flat at 56,146 MT against an industry down ~10%; no inventory loss despite PVC price decline; anti-dumping process "1–2 months" away (Kotak Neo)
- Q1 FY27 earnings call transcript, 12 August 2026 (MarketScreener)
- FY26: revenue ₹6,568.6cr +13%, PAT ₹534.7cr +3.0%, final dividend ₹2.50; Q4 revenue ₹2,088.5cr +24%, Q4 PAT ₹213.0cr +20% (Free Press Journal)
- Q4 FY26: volume +24.2% to 84,041 MT, plumbing revenue ₹1,534.2cr +25.1% with segment EBITDA ₹351.9cr +40.5% at 22.8% vs 20.4%; paints & adhesives ₹554.3cr +21.9% with EBITDA ₹48.3cr –20% at 8.7% vs 13.3% (Indian Chemical News)
- FY26 full year: EBITDA ₹1,062cr +12%, volume +16%, FY26 paints & adhesives ₹1,890cr +15.5%; FY27 guidance 10–15% pipes volume, 15–20% adhesives, ~25% paints and bathware, 16–18% EBITDA margin, capex ₹300–350cr (Trade Brains)
- FY26 audited results filing summary: consolidated revenue ₹65,686mn, cash and bank ₹943.3cr at 31 Mar 2026 (ScanX)
- Q3 FY26: total income ₹1,551cr, PAT ₹107.7cr, –4.4% YoY against ₹112.6cr in Q3 FY25 (Kotak Neo)
- Q2 FY26: PBT ₹179.9cr, PAT ₹134.8cr; volume +20%, value +15% (Business Standard)
- Q1 FY26: PAT ₹79.2cr, –33% YoY — the broken base that makes the Q1 FY27 "+52%" misleading (Business Standard)
- FY25: revenue ₹5,832.4cr, total income ₹5,874cr +3.3%, PAT ₹518.9cr –4.9% vs FY24 ₹546cr; FY25 EPS ₹19.50 vs FY24 ₹20.33 (Simply Wall St)
- FY24 annual report analysis: operating income +9.4%, net profit ₹5,456mn +18.7%, EBITDA margin 16%, net margin 9.7%, ROCE 23.6% vs 23.9% in FY23 (Equitymaster)
- FY23 annual report analysis: operating income +17.4%, net profit ₹4,595mn, EBITDA margin 16%, net margin 8.9% (Equitymaster)
- FY22: net sales ₹4,394cr, net profit ₹490cr, EBITDA margin ~17% (Business Standard)
- FY21 peak margins: revenue ₹3,176.3cr +23.2%, PAT ₹408.2cr +63.5% vs ₹249.6cr in FY20, EBITDA margin 20.3% (Business Standard)
- Balance sheet and coverage at FY25: net worth ~₹3,261cr, gearing 0.15x, cash and liquid investments ~₹608cr, net debt free, interest coverage 23x; negative-action trigger at TOL/TNW >0.75x (CARE Ratings, July 2025)
- FY26 working capital cut from 17.4 days to 11.0 days; ₹1,400cr capex over four years; 21 units, 5.97 lakh TPA (4.2 lakh pipes/tanks/bathware, 1.4 lakh adhesives, 36,000 paints) (ICICI Direct Q4 FY26 update)

The demerger and other corporate actions

- **Scheme WITHDRAWN 29 July 2026** — board scrapped both the chemicals demerger and the Al-Aziz amalgamation on an independent consultant's recommendation, concluding the chemicals business "lacks the necessary scale and financial strength to support organic and inorganic growth as a standalone entity"; deferred indefinitely pending greater scale (ScanX)
- The five-week round trip: approved 25 June 2026, Big Four firm appointed 5 July for a 30-day independent evaluation after stakeholder pushback, withdrawn 29 July; withdrawal read as removing a performance overhang (Sahi)
- Composite scheme as originally approved 25 June 2026: chemicals business into Astral Chemie Ltd at 1:1 (₹1 face value), Al-Aziz Plastics amalgamated into Astral; chemicals turnover ₹1,266.3cr in FY26 = 21% of turnover (Indian Chemical News)
- Demerger: stock fell 8.85% to ₹1,355.30 intraday; analysts cite growth concerns for the sub-scale paints and adhesives business that plumbing was funding, and multiple uncertainty for both halves (Upstox)
- Demerger near-term overhang; Astral Chemie formerly Astral Coatings Pvt Ltd; ~12 months to complete, expected by end-FY27 (Business Today)

- Astral Chemie targets: ₹2,300–2,400cr revenue and 14–15% EBITDA margin by FY28, ₹4,500–5,000cr in 4–5 years; adhesives India ~68% of FY26 chemicals revenue with 24% FY22–26 CAGR and 15–16% margins; DSS scaled to ₹400–500cr at 20–25% margins; paints EBITDA breakeven in FY27 (ICICI Direct company update, 29 June 2026)
- DSS LLP: Astral Chemie acquires 60% for ₹39.11cr, announced 11 June 2026, completion by 31 Aug 2026; specialty chemicals for electronics, aerospace, renewables and infrastructure; Bharuch facility; backward integration into polyamines and benzoxazines (Sahi)
- Investec maintains Buy, TP ₹1,710, but awaits clarity on DSS revenue contribution before adding upside (Business Upturn)
- "DSS acquisition won't move the needle in a big way for Astral" — the sceptical read (Mint)
- Nexelon Chem: 80% agreed 11 Aug 2025, completed 5 Nov 2025; ₹120cr of a ₹150cr, 40,000 MT captive CPVC resin plant; covers 50–60% of internal CPVC need, ~+200bps to piping margin, ₹120–130cr working capital released (Astral press release)
- CPVC plant timeline slip: mechanical completion December 2026, trials and stabilisation Q4 FY27, commercial production Jan–Mar 2027 (Alpha Spread, Astral earnings call)
- Astral terminated its CPVC resin sourcing and licence agreement with Lubrizol (Business Standard)

Ownership, governance and valuation

- Promoters 54.22% as of June 2026, zero pledge; Sandeep Engineer the largest single holder (Simply Wall St)
- December 2023: promoter entities Kairav Chemicals and Saumya Polymers LLP sold 1.74% for ₹885cr in the open market (Business Standard)
- Board: Sandeep Engineer CMD, Jagruti Engineer WTD, Kairav Engineer WTD since 2023 (pipes, bathware, water tanks, brand), CFO Hiranand Savlani elevated to the board; family trusts used for succession (Board Stewardship)
- Price ₹1,493.50 and market cap ₹40,106.78cr at 7 September 2026; 52-week range ₹1,311.60–₹1,768.70 (INDmoney)
- All-time high ₹2,454 on 2 July 2024, followed by an ~50% drawdown to ₹1,200 (TradingView)
- 25 recent research reports, average target price ₹1,543 (Trendlyne)
- Motilal Oswal, August 2026: Buy, TP ₹1,697 on ~48x FY28E P/E; FY26–28E CAGR of 16%/22%/30% for revenue/EBITDA/APAT, RoE ~18% and pre-tax RoCE ~26% by FY28 (Investment Guru India)
- Motilal Oswal, June 2026: Buy, TP cut to ₹1,710 on ~52x FY28E; earlier target ₹1,950 (Investment Guru India)
- Axis Securities Q1 FY27 update: Buy, TP ₹1,750 on 51x FY28E EPS

Industry and competition

- India plastic pipes and fittings: Finolex leads organised revenue, then Ashirvad, Supreme and Astral; market targeting ₹80,000cr by 2027 at 12–14% CAGR (Ken Research)
- Motilal Oswal plastic pipes sector update, June 2026: Q4 FY26 recovery on demand, channel restocking and a sharp rebound in PVC resin prices; market ₹541bn FY24 to ₹805bn FY27 at 14% CAGR (Business Standard)
- Astral distribution: 3,610+ distributors and 251,000+ dealers; ~25–30% CPVC share and ~5% PVC share; Prince Pipes installed capacity to 435,222 MT after Bihar phase 2 (Univest)
- Indian CPVC resin capacity additions by DCW, Lubrizol and Epigral totalling over ₹2,400cr — the clock on Astral's captive-resin advantage (Transpire Insight)
- DGTR recommends anti-dumping duty on PVC suspension resin of \$22–284/tonne for five years on China, Indonesia, Korea, Japan, Taiwan and the US (Polymerupdate)
- India sets a US\$766/tonne minimum import price on PVC resin; basic customs duty nil 2 April – 30 June 2026, then quantitative restriction (ChemAnalyst)
- PVC anti-dumping duty read-across for Supreme Industries and Astral: inventory gains, channel restocking, share expansion (Business Standard)
- Birla Opus: >₹10,000cr of committed paint capacity, 30,000+ retail outlets, aggressive contractor and dealer incentives — the market Astral entered in 2024 with 36,000 TPA (Outlook Business)